EQUITY RESEARCH · INITIATING COVERAGE

Waste Management

WM · NYSE | Full Fundamental Analysis

A premier regulated-adjacent infrastructure franchise — with cash flow accelerating, but valuation still demanding.

RESEARCH DATE
28 Oct 2026

REFERENCE PRICE
$225.15

RESEARCH VIEW
WATCH · 5/10

BASE-CASE DCF
$248/share

Based on October 27 earnings and October 28 earnings call. Prepared for private investment research. Not published to PCC.

01 / DECISION SUMMARY

Investment conclusion

WATCH · 5 / 10 CONVICTION

Business quality is not the debate; the purchase price is. WM's scarce landfill infrastructure, vertically integrated collection network and contract repricing produce attractive business durability. Following the Q3 print, operating cash flow and reinvestment discipline appear stronger, but negative collection volumes, high financial leverage and a still-premium earnings multiple temper prospective returns. [S1–S7]

28 OCT CLOSE	BASE INTRINSIC VALUE	FY26 FCF GUIDE	FORWARD P/E
$225.15	**$$248**	**$3.75–3.85B**	**25.7×**
Down 4.52% on day	10.3% modeled upside	Upper end anticipated	Data vendor NTM basis

> **Actionable interpretation.** At $225, a quality-weighted investor can consider WM for a defensive watchlist, but the estimated base-case margin of safety is thin. **Preferred initial add zone: $200–$210**; stronger value opportunity under ~$190, conditional on intact fundamentals. Existing investors may reasonably hold through the ongoing cash-flow harvest. This is Equity Research's non-binding assessment, not a Portfolio CIO instruction.

Decision hinge: Does the company convert the 2026 capex step-down and Stericycle synergies into sustainable high-single-digit per-share FCF growth, without sacrificing collection volumes or adding financial strain? At current price, reverse DCF requires roughly **5.9% annual FCF/share growth** over the next decade (assuming an 8.5% equity discount rate and 3.0% terminal growth). This is achievable but not trivially low.

COMPANY QUALITY	VALUATION ATTRACTIVENESS	PORTFOLIO FIT*
9 / 10	**6 / 10**	**7 / 10**
Strong moat and pricing architecture	Improving, not distressed	Potential defensive diversifier

*Portfolio-fit rating is indicative only: latest user-provided export 65 shows no direct WM line; the repository agent-state manifest still points to export 63, so authoritative reconciliation is outstanding.

NAVIGATION

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02 / LATEST EVIDENCE

October 2026 earnings read-through

WM reported third-quarter results on October 27 and held its earnings call on October 28. Revenue was **$6.846B (+6.3% YoY)**, adjusted operating EBITDA **$2.121B (+5.8%)**, and adjusted diluted EPS **$2.15 versus $1.98** a year ago. Its adjusted EBITDA margin held near **31.0%** versus a restated comparable 31.1%. Adjusted EPS was slightly below a $2.18 third-party estimate shown on Investing.com; that vendor comparison should not be mistaken for an official consensus snapshot at the release cut-off. [S1, S2]

Q3 metric	Q3 2026	Q3 2025	Read-through
Revenue	$6.846B	$6.443B	+6.3%
Adjusted operating EBITDA	$2.121B	$2.005B	+5.8%
Adjusted EBITDA margin	31.0%	31.1%	−10 bps
Adjusted diluted EPS	$2.15	$1.98	+8.6%
Collection/disposal volume	−0.4%	n/a	Still negative
Core price	+5.8%	n/a	Price-led growth

What worked

Core price growth of 5.8% supported an attractive price/cost spread. Healthcare Solutions revenue increased 3.7%, and its adjusted operating EBITDA grew more than 30%, with integration-driven overhead reduction. Recycling benefited from automation and better commodity realization; renewable natural gas plants continue to ramp. Nine-month operating cash flow rose 12% to **$4.87B**; company-defined free cash flow grew more than 42% to **$3.01B**, helped by lower capital expenditure. [S1, S2]

What did not improve

Collection and disposal volumes were **−0.4%**, partly reflecting intentional departures from low-margin residential contracts and broker-related commercial losses. Higher fuel costs and risk-management expenses collectively pressured Q3 adjusted EBITDA margins by about 80 bps, outweighing favorable price-to-cost and healthcare improvements. The market marked WM down 4.52% on October 28; attributing that move solely to the earnings surprise would overstate causal certainty. [S1, S5]

2026 reaffirmed guidance

Management guide, FY2026	Range	Management outlook
Revenue	$26.275–$26.475B	High end
Adjusted operating EBITDA	$8.15–$8.25B	Within range
Company-defined free cash flow	$3.75–$3.85B	High end
Repurchases	~$2.0B	Plan unchanged

Revenue and FCF guidance skew to the upper end, but EBITDA guidance was not raised. Analysts should not confuse improved FCF from reduced growth capex with a like-for-like EBITDA margin acceleration. Source [S1].

03 / STRUCTURAL ECONOMICS

A defensible, asset-backed local network

The landfill network is the moat

WM operated **257 landfills, 482 transfer stations and 162 recycling/organics facilities** at year-end 2025. Locally permitted landfill capacity is hard to replicate, and ownership gives WM control over disposal costs, route economics and access to infrastructure. Regulatory and community constraints can reinforce incumbent advantages, but also increase compliance and closure liabilities. [S3]

Vertical integration reinforces pricing

Collection routes supply transfer and landfill assets, reducing reliance on third-party disposal and expanding route density. Management cited a 72.1% internalization measure based on disposal costs in its October call. Commercial contracts, municipal agreements and automatic price resets support revenue visibility, while residential contracts can be more exposed to competitive rebids. [S2]

Four earnings engines, differing qualities

Activity	Quality and strategic contribution	Primary sensitivity
Collection & disposal	Core scale, locally advantaged assets, repeat service demand; strongest recurring economics.	Pricing / volumes / fuel / route density

Activity	Quality and strategic contribution	Primary sensitivity
Healthcare Solutions	Acquired medical waste and secure-destruction franchise; diversification and integration upside.	Retention / synergy capture / compliance
Recycling	Automated facilities can lift throughput and returns; supportive strategic adjacency.	Commodity prices / plant utilization
Renewable energy	Monetizes landfill-gas feedstock; high incremental economic potential if contracted.	RINs / production uptime / regulation

Moat durability: High for local landfill and disposal economics; somewhat lower for route-only contracts and ancillary recycling. No thesis should assume the entire consolidated business benefits equally from landfill scarcity.

04 / FINANCIAL ARCHITECTURE

Higher FCF, meaningful leverage

Metric	FY2024 actual	FY2025 actual	FY2026 outlook
Revenue	$22.063B	$25.204B	$26.275–26.475B
Operating cash flow	$5.390B	$6.043B	9M: $4.87B
Total capital spending	$3.231B	$3.227B	Lower than 2025
WM-defined free cash flow	$2.317B	$2.937B	$3.75–3.85B

2024/2025 FCF company definition includes divestiture proceeds in addition to operating cash less capex, so totals do not equal a strict CFO-minus-capex calculation. FY2026 is guidance, not reported actual. [S1, S3]

At September 30, WM held approximately **$23.37B of gross debt** and **$247M cash**: roughly **$23.12B net debt**. Against ~$8.20B of FY2026 guided adjusted operating EBITDA, this implies about **2.8× net debt / annual EBITDA** as a rough analyst calculation (not a company covenant metric). The company has approximately $4.4B of contractual debt maturities or rate-period resets within the following year, but classifies around $2.9B as long term based on refinancing capacity. [S1, S4, S5]

> **Capital-allocation hierarchy matters:** Priority 1 — preserve local infrastructure and essential fleet capex; 2 — de-risk debt after Stericycle; 3 — reinvest in automation and RNG projects meeting return hurdles; 4 — dividends and opportunistic buybacks. Q3 shareholder distributions of $957M and nine-month repurchases of $1.58B demonstrate financial flexibility, but buybacks near elevated valuation multiples reduce marginal returns versus debt retirement. [S1]

Quality-of-earnings caution: adjusted EBITDA and adjusted EPS exclude selected integration and unusual items. The Q3 cash-flow ramp benefits from a capital-spending decline; it should not all be capitalized as recurring organic growth. Watch landfill closure/post-closure accruals, fleet replacement timing, working capital normalization, and integration restructuring outlays. [S1, S3]

05 / INDUSTRY STRUCTURE

Oligopoly economics, not immunity from cycles

Municipal collection and post-collection disposal are regionally concentrated, with WM, Republic Services and Waste Connections among major North American operators. Each benefits from scale, permitted assets, route density and local acquisition opportunities. Competitive risk is concentrated in commercial contract competition, municipal rebids, broker relationships and specialty offerings. Higher fuel, wages and insurance can generally be addressed through pricing with a lag rather than eliminated entirely.

Oct 28, 2026	WM	RSG	WCN
Forward P/E, provider	25.7×	30.6×	29.9×
EV / trailing EBITDA	14.5×	16.4×	16.9×
Trailing P/FCF	24.4×	27.1×	36.3×
Debt/EBITDA, vendor	3.0×	2.6×	3.0×

Source [S5, S8, S9]. Multiples are third-party trailing or provider-defined forward metrics; fiscal timing, acquisition mix, FCF definitions and lease treatment differ. This is a directional peer check, not a fully normalized transaction-comps model.

Comparison inference: WM trades at a discernible discount to key public peers, which offsets some historical premium concerns. But WM's **25.7×** forward earnings remains substantial relative to a low- to mid-single-digit organic volume-plus-price revenue growth profile. The discount does not automatically constitute undervaluation: RSG/WCN differ in growth, geography, leverage and acquired business mix.

Macro crosscurrents

Higher nominal inflation supports contract pricing but raises labor, truck, financing and fuel costs. Slower industrial/construction activity weakens roll-off and landfill tons. Higher interest rates raise the required investment return for capital-intensive defensives. Recycling commodity prices and RNG credit economics add cyclical earnings to an otherwise relatively stable waste stream.

06 / LEADERSHIP AND STEWARDSHIP

Succession is a checkpoint, not a rupture

CEO Jim Fish is scheduled to retire January 4, 2027; President **John Morris** will become CEO. His long operational tenure improves succession continuity. Still, the change creates a legitimate underwriting checkpoint

around pricing discipline, capital returns, healthcare integration and debt reduction. [S10]

Positive signals: nine-month FCF growth, technology and route optimization investments, earlier-than-planned Healthcare SG&A progress, sustained repurchases, and recycling/RNG facilities moving from construction to earning cash. **Counterweight:** capital has already been committed heavily to Stericycle and sustainability projects; reported FCF is only as durable as recurring capex requirements and operational uptime. The board should compare internal investment IRRs with debt retirement and buyback yields at the actual WM stock price.

07 / EXPECTATIONS

Current valuation remains a quality premium

MARKET CAP	ENTERPRISE VALUE	2027 EPS ESTIMATE	STREET MEAN TARGET
~$90.0B	**~$113.1B**	**$9.08**	**$253.72**
Oct 28 close	Vendor EV	Adjusted consensus	28 analyst snapshot

S&P Global-derived estimates show **FY2026 revenue ~$26.44B and adjusted EPS $8.11**, followed by **FY2027 revenue ~$27.87B and adjusted EPS $9.08**, implying about 5.4% next-year revenue and 12% EPS growth. At the October 28 closing price, WM trades around **27.8× FY2026 adjusted EPS and 24.8× FY2027 EPS**. The provider's **25.7× forward P/E** is a distinct rolling basis; these should not be mixed. [S5, S6]

Peer data suggest WM is below RSG and WCN on forward P/E and EV/EBITDA, while WM's own historical year-end forward P/E was roughly 25.7–30.8× for 2021–2025 observations. Its current forward multiple is toward the low end of that narrow historical series — reassuring, but not itself proof of bargain valuation. [S7–S9]

PEG: A provider quotes **~2.78×**. The number is highly sensitive to forecast growth windows and the provider's earnings basis. Using 25.7× NTM P/E divided by its cited 9.84% three-year forecast annual EPS growth produces about **2.61×**, rather than precisely 2.78×. Accordingly, the PEG is a secondary valuation signal, not a primary price target input.

> **Street target is not intrinsic value:** the ~$254 consensus represents aggregated analyst 12-month targets and may lag the latest post-print changes. It is broadly consistent with our ~$248 modeled base value but is not an independent validation of it.

08 / EXPLICIT AND REVERSE DISCOUNTED CASH FLOW

Equity FCF DCF: base value ~$248

Method. We model equity-distributable cash flow using WM's company-defined FCF as an approximate FCFE starting point. Because CFO is after interest expense, the model discounts at a cost of equity and *does not subtract net debt again*. The method assumes a sustainable leverage ratio, ordinary refinancing, and no

extraordinary debt-funded M&A or balance-sheet repair; if those assumptions fail, the equity model requires restructuring. This is a simplified standalone equity DCF rather than an integrated three-statement forecast.

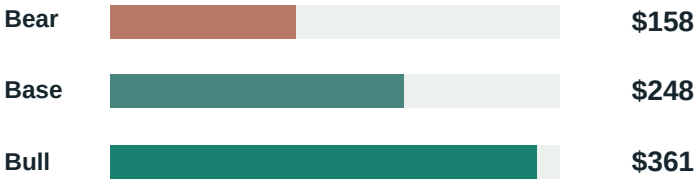
Scenario	Years 1–5 / 6–10 FCF growth	Cost of equity	Terminal growth	DCF/share	Vs $225
Bear	3% / 3%	9.0%	2.50%	**$158**	-30%
Base	8% / 6%	8.5%	3.00%	**$248**	+10%
Bull	11% / 9%	8.0%	3.25%	**$361**	+60%

Starting year: FY2026 expected $3.85B of company-defined FCF, assumed to be a steady-state proxy for FCFE; forecast cash flows 2027–2036 discounted at year-end from a FY2026 reference point. 399.72M shares used throughout; no separate buyback per-share uplift is layered on. Equity discount rates and growth are analyst judgments. [S1, S5]

Forecast equity FCF, $bn

Year	Base	Bear	Bull
2027	$4.16B	$3.97B	$4.27B
2028	$4.49B	$4.08B	$4.74B
2029	$4.85B	$4.21B	$5.27B
2030	$5.24B	$4.33B	$5.84B
2031	$5.66B	$4.46B	$6.49B
2036	$7.57B	$5.17B	$9.98B

Valuation cases



Base estimate **$248** per share; ~63% of base value comes from terminal value, making discount rate and perpetuity assumptions material.

A 2027 EPS × 27.5 multiple yields ~$250, directionally triangulating the DCF base; the method inherits market multiple risk.

Reverse DCF: what is embedded at $225.15?

Holding the starting FCF at $3.85B, a 10-year constant growth profile, 8.5% cost of equity and 3.0% terminal growth yields **~5.9% annual FCF growth** required to explain the current price. This is lower than the 8%/6% staged DCF base path, which is why our base value exceeds market price. It is nonetheless demanding enough to require actual volume stabilization and full investment payback.

Growth / discount-rate sensitivity (2026 FCF $3.85B, terminal 3%)

Cost of equity	4% annual FCF growth	6% annual	8% annual
8.0% equity discount	$215	$252	$295
8.5% equity discount	$195	$228	$266
9.0% equity discount	$178	$208	$242

The terminal assumption and discount rate are not company guidance. Cost of equity of 8–9% is an underwriting judgment for this mature infrastructure-style security, not the quoted third-party 5.9% WACC. These model values are illustrative, sensitive to FCF comparability and the share count. They exclude a detailed terminal capex/landfill-remediation obligation roll-forward and should not be treated as precise targets.

09 / ALTERNATIVE PATHS

What would change the outcome?

BEAR CASE

$158/share

Commercial/residential volume remains weak, risk and fuel expenses persist, healthcare margin resets, capex normalizes higher than expected, and a 9% equity hurdle compresses fair value.

Watch: low-single-digit FCF growth and no sustained EBITDA margin improvement.

BASE CASE

$248/share

Pricing covers costs, volumes stabilize, Stericycle efficiencies hold, RNG and recycling projects mature and FCF expands 8% in first five years then 6% for the next five.

Watch: margin and FCFE conversion of capex relief.

BULL CASE

$361/share

Organic volumes recover, incremental margins rise, new investments exceed return hurdles and the company compounds FCF at a double-digit initial rate with a lower equity discount rate.

Watch: 2027/2028 synergy realization and reliable project cash yields.

Probability discipline: Cases are conditional valuations, not statistically calibrated probabilities. An equal-weighted mean of these very wide outcomes would overstate precision; the formal decision anchors on base value, bear downside and checkpoints rather than numerical expected value.

10 / STRONGEST CONTRARY EVIDENCE

Why a great company can disappoint shareholders

1. **Volumes are not yet growing.** Q3 collection/disposal volumes declined 0.4%. Price-driven revenue growth may gradually run out of headroom where customers rebid contracts or economic activity weakens.
2. **Cash flow could be capex-timing inflated.** A sizable portion of 2026 FCF improvement comes from declining sustainability and equipment spending, and returns must be evaluated once steady-state replacement and closure outlays return.
3. **Gross debt remains substantial.** Roughly $23.37B gross debt exposes WM to refinancing rates and reduces room for large capital-allocation mistakes.
4. **Stericycle/Healthcare is a hard integration.** Highly regulated medical waste and document destruction carry safety, compliance, culture and competitive risks; margin gains can temporarily mask weak retention.

5. **Fuel, insurance and labor are real liabilities.** Fuel and risk management created ~80 bps Q3 margin drag. These may not immediately reverse even if core pricing remains strong.
6. **Environmental and permitting requirements can compound.** Leachate/PFAS obligations, landfill methane requirements, site liabilities and post-closure reserves carry difficult-to-predict long-dated costs.
7. **Premium valuation makes 5% growth less forgiving.** At 25.7× forward EPS and a 4% FCF yield, even stable execution may produce modest equity returns if the multiple does not hold.

Company risk disclosure and recent earnings details: [S1, S3, S4]. Some downside mechanisms are analyst interpretations, not confirmed events.

11 / PORTFOLIO APPLICATION

Potential defensive exposure, no confirmed direct position

The uploaded **retirement-portfolio-65.xlsx** export lists 43 asset/cash lines and contains **no direct WM security**. A modest WM holding could diversify toward essential service revenue and regulated-infrastructure-like economics, though existing industrial and defensive positions, ETF look-through, and the user's income/retirement objectives affect the net exposure. It is *not* automatically a better destination for the next dollar than existing positions.

> **Source-of-truth conflict:** user-designated export 65 was inspected for this report, but the repository's authoritative agent-state manifest still names **retirement-portfolio-63.xlsx** with its own SHA-256. Consequently, this report makes no claim that export 65 is repository-validated or that portfolio allocation weights are authoritative. No holdings, cost basis or weights were transferred from an older workbook.

Reference entry zone	What it means
Above $245	Valuation approaches model base; limited margin of safety absent further estimate upgrades.
$220–$235	Current range: fair-to-reasonable for quality; monitor rather than chase.
$200–$210	Preferred initial accumulation gate, provided 2027 guidance and FCF economics remain intact.
Below ~$190	Potential higher-return gate, but first determine whether a permanent thesis impairment caused the decline.

Risk rule: price levels are not automatic buy orders. Condition each gate on credible mid- to high-single-digit FCF growth, no material leverage increase and non-deteriorating landfill/disposal franchise quality. The research rating is **Watch, 5/10 conviction** at the reference quote; a material price dislocation or estimate change warrants a fresh underwrite and CIO review.

12 / MONITORING FRAMEWORK

Prove or break the thesis

Checkpoint	Proof to seek and time
Q4 2026 / FY2027 outlook	Confirm high end of FY2026 FCF guide; disclose FY2027 sustainable capex, adjusted EBITDA/FCF growth and earnings quality.
Collection/disposal volumes	Progress from Q3 −0.4% toward flat/positive by 2027, excluding deliberate low-margin exits; distinguish organic price from surcharges.
Healthcare Solutions	Retention and volume stabilization, sustainable margin improvements, evidence that SG&A savings are not offset by operating costs.
RNG and recycling returns	RNG production uptime and 2027 contract realizations; recycling automation contribution net of capital and maintenance.
Leverage and buybacks	Debt/EBITDA trending toward the mid-2× range; share repurchases not crowding out debt service and essential capex.
CEO handoff	January 4, 2027 succession; continuity in return hurdles, safety metrics and capital allocation priorities.

Explicit thesis-break conditions

1. Two or more sequential quarters of worsening underlying collection/disposal volumes *and* weaker price-to-cost spreads, with no credible recovery route.
2. After normalization of growth capital spending, trailing annual company-defined FCF persistently below ~$3.3B without a clearly transitory explanation.
3. Adjusted EBITDA margin structurally falls below ~29% while management continues to miss operating-cost or healthcare integration checkpoints.
4. Net debt/annual EBITDA sustains above ~3.5× outside a clearly funded, high-return transaction and with no credible deleveraging plan.
5. Material landfill liability, healthcare compliance or regulatory finding that impairs permitted disposal capacity or requires a reassessment of terminal economics.

> **Research conclusion:** Maintain a positive business-quality thesis but a conditional valuation stance. We favor a monitored entry below $210 versus an indiscriminate add at $225. Equity Research proposes **no authoritative thesis-status change**; any future research-to-CIO handoff should be based on a documented checkpoint or price/valuation gap.

Open diligence questions

Obtain a multi-year replacement versus growth capex bridge, full Stericycle cohort retention and integration economics, landfill liability reserve sensitivity to PFAS/methane rules, 2027 consensus FCF revisions following the

October 28 call, and a full equity/capital-stack model incorporating net debt maturity and discretionary financing. These could materially change the estimate range.

13 / AUDIT TRAIL

Sources, data cut-off and methodological notes

Market data: October 28, 2026 U.S. cash-equity closing price. **Fundamental data:** Q3 results released October 27, conference call October 28, latest accessible 10-Q, FY2025 Form 10-K. **Research mode:** Initiating Coverage — no WM record found in the accessible thesis and report registries or active research queue. **Evidence confidence:** High for filed earnings, cash and debt amounts; medium for market-vendor estimates and peer definitions; assumption-dependent for model intrinsic values. **Underwriting status:** Validated research with a simplified equity DCF, not a fully integrated debt/stub-period model.

[S1] WM Q3 2026 earnings release / 8-K exhibit
Company primary, Oct 27 2026

[S2] WM Q3 2026 earnings-call transcript
Call transcription, Oct 28 2026

[S3] WM FY2025 Form 10-K
SEC annual filing, 2025 FY

[S4] WM September 2026 Form 10-Q
Company regulatory filing, 2026 Q3

[S5] WM valuation, capital structure, and estimates
S&P Global via Stock Analysis; Oct 28 2026

[S6] WM estimates and analyst price target
S&P Global via Stock Analysis; Oct 28 2026

[S7] WM historical valuation ratios
S&P Global via Stock Analysis; Oct 28 2026

[S8] Republic Services valuation
S&P Global via Stock Analysis; Oct 28 2026

[S9] Waste Connections valuation
S&P Global via Stock Analysis; Oct 28 2026

[S10] WM leadership transition / 8-K
Company announcement, Aug 26 2026

[S11] Waste Connections Q3 earnings
SEC exhibit, Oct 21 2026

Facts based on company reports are distinguished from third-party forecasts and model-derived judgment throughout. Market and consensus figures can change following earnings and should be rechecked before making a live trade. The research record is not authorization for publication.
